Circulated 7/6/51 (1pm) 31

(THIS DOCUMENT IS THE PROPERTY OF HIS BRITANNIC MAJESTY'S GOVERNMENT)

SECRET

C.P.(51) 155 COPY NO. 31

7TH JUNE, 1951

CABINET

JAPANESE PEACE TREATY: TALKS WITH MR. DULLES

Memorandum by the Secretary of State for Foreign Affairs

I. Limitations on Japan's right to re-arm.

On 29th May (C.M.(51) 38th Conclusions, Minute 2) the Cabinet reaffirmed their view that Japan should be allowed a measure of rearmament subject to the limitations discussed at their meeting on 2nd January. They considered, however, that in my forthcoming discussions with Mr. Dulles, I should make every effort to secure agreement that these limitations on Japan's right to rearm should be specified in the Peace Treaty. If this effort failed, and reliance had to be placed on a separate bilateral Defence Pact between the United States and Japan, Mr. Dulles should at least be urged to agree that the Peace Treaty should not include any provision on the lines of Article 6(b) of the draft annexed to C.P.(51) 137, recognising Japan's sovereign right to rearm.

2. Views of Mr. Dulles. When these views were put to him, Mr. Dulles admitted that perhaps the United States Government should have done more to keep His Majesty's Government and other interested Governments informed regarding their proposed Defence Agreement with Japan. This in fact would provide that, for many years to come, specific Japanese air and naval bases should be occupied by United States forces, in such a way that, apart from all other considerations, there was no possibility of Japan resuming her aggressive course for as long as this occupation lasted. The United States Government were convinced that this was so, and were sure that the other Governments concerned would feel that no limitation on Japan's right to rearm would be required in the Treaty once this information was available to them. In any event the United States Government saw objection to the inclusion of provisions limiting rearmament in a Treaty, first because of the effect this would have upon the Japanese, and secondly because the experience of the Versailles Treaty has shown that such provisions tend to be evaded by the defeated Power.

In these circumstances Mr. Dulles has supplied us with a copy of the memorandum (Annex A) which he hopes may give His Majesty's Government useful material on this question. A relevant extract from the speech which he proposes to make at the English Speaking Union tonight is also attached (Annex B).

3. As regards Article 6(b) of the draft Treaty, it was made clear in discussion that, apart from providing a peg on which to hang the separate United States Defence Agreement, this had the following effect: under Article 6(a), which had been put in originally to meet the anxieties felt by Australia and other countries, Japan accepted the obligations of Article 2 of the United Nations Charter (peaceful settlement of international disputes,

refrain from use of force, co-operation with the United Nations); this, however, by itself had the effect of imposing obligations on Japan such as she would have had had she become a member of the United Nations without recognising that she had the corresponding right of self-defence also referred to in the Charter. Article 6(b) may, therefore, be regarded as correcting an anomalous position which, apart from the political aspect, would be open to objections under international law if Article 6(a) stood alone, particularly having regard to the provisions of Article 107 of the United Nations Charter. From this point of view the United States Government attach importance to the inclusion of Article 6(b), although, in the hope of to some extent meeting any criticisms which might be applied to it, they would be prepared to omit the last few words of the Article. These are the words in square brackets in the text of the Article which is given in Annex C.

4. Recommendations.

(a) As regards the omission of any clause limiting Japan's right to rearm, in view of the explanation given by Mr. Dulles it is recommended that this should not be pursued further.

(b) In view of the legal argument referred to above, it is recommended that we should agree to the retention of Article 6(b), amended as referred to above by the United States Government in an attempt to meet our view.

(c) That we should, however, ask the United States Government to make a statement regarding the reassuring effects of their Defence Agreement with Japan, to be issued not later than the publication of the text of the Peace Treaty, but if possible before that, and the sooner the better.

II. Chinese participation.

5. On 29th May (C.M.(51) 38th Conclusions, Minute 2) the Cabinet agreed that the proposals contained in paragraphs 19 and 20 (C.P.(51) 137), recommending the participation of neither Chinese Government in the Treaty but the inclusion of an accession clause providing for Chinese accession in subsequent agreed circumstances, should be explored in the talks with Mr. Dulles.

6. Views of Mr. Dulles. On being informed of our case, Mr. Dulles said that he recognised our difficulties in the matter, the importance of carrying other countries, particularly Asiatic ones, with us on the issue, and also the importance of not prejudicing in advance Japan's relations with China. He emphasised, however, that an important part of congressional opinion in the United States would not agree to the omission of the Nationalists from the Peace Settlement, and this might lead to a serious danger of non-ratification of the Treaty by the Senate. He had not yet been able to explore senatorial opinion regarding our compromise proposal, and he did not wish to take a final stand against it at this stage. He had, however, been trying out certain alternative possibilities, on which he would be grateful for our views. These were:-

(a) An invitation to both the Communists and the Nationalists to sign the Treaty in respect of the areas which they respectively control;

(b) the Treaty to take the form of a series of bilateral pacts, with Japan free to sign such a pact with either China;

(c) the Treaty to be a multilateral pact, as now proposed, to be signed by neither Government of China, but with no accession clause or reference to the latter in the Treaty, and the Treaty to be accompanied by an agreed announcement explaining that, given the disagreement among the principal parties on the Government entitled to represent China, neither Government of China had signed. The effect of this would be that the problem would be left for Japan herself to solve, once she had resumed her independence on the conclusion of the Peace Treaty; she would then be able to negotiate a similar or appropriate Treaty with either Government of China. There should, however, be a provision in the multilateral Peace Treaty to the effect that Japan would subsequently not conclude a more favourable Treaty with any other Power unless she also extended the special advantages thereby obtained by that Power to the signatories of the original Treaty.

7. Mr. Dulles' proposal (a) is undesirable from our point of view since any invitation would be accepted by the Nationalists and almost certainly rejected by the Communists, so that this would in effect simply be a fairly transparent device for bringing the Nationalists in and keeping the Communists out. As regards (b), His Majesty's Government have never favoured the peace settlement taking the form of a series of identical bilateral pacts; this is untidy from a legal point of view, difficult to work out in practice (e.g. why should a bilateral Peace Treaty between Japan and Peru go into details about the Ryukyu and Bonin islands?), and also it opens the door to what we wish to avoid, namely the participation of the Nationalists in the same peace settlement with ourselves, the only difference being that they would sign a separate document rather than the same one.

Proposal (c) has the same basic principle as our own compromise proposal, namely, that neither Government of China should sign the Treaty; the point of difference is that, instead of the suspensory conception figuring in the text of the Treaty, it would be put into an agreed statement outside the Treaty though simultaneous with it. Like our own proposal, it has the merit of leaving the responsibility for their future relations with China on the shoulders of the Japanese themselves, so that it would thus eliminate one of the major difficulties to any other form of solution. Even under our own proposal about the accession clause, Japan would in fact be free, once the general treaty came into effect, to conclude a separate bilateral Peace Treaty with either Government of China without waiting for the general agreement proposed in our accession clause. The practical effect of both solutions would thus be very much the same, and in substance the proposal represents a considerable step by the United States Government to meet our point of view.

8. Recommendations. That we should continue to press for our compromise proposal, but that if necessary we should be prepared to accept Mr. Dulles' very similar proposal at (c) above.

III. Formosa.

9. At their meeting on 29th May (C.M.(51) 38th Conclusions, Minute 2) the Cabinet agreed that, in the discussion with Mr. Dulles, the question of Formosa should if possible be included in the manner proposed in paragraph 21 of C.P.(51) 137: namely, that if neither Government of China participates,

the Treaty could provide for the cession of Formosa to 'China', with a suspensory provision which reserved the position of the signatories on the interpretation of this clause.

10. Views of Mr. Dulles. In discussion Mr. Dulles maintained the United States view that the Treaty should provide simply for renunciation by Japan of her sovereignty over Formosa, with no provision regarding its cession. Indeed he now wished to propose that the territorial clauses of the Treaty should not provide, either, for the cession of South Sakhalin and the Kuriles to Russia, but that there should be a single article providing on a uniform basis for renunciation by Japan of her sovereignty over South Sakhalin and the Kuriles as well as over Formosa. (As regards South Sakhalin and the Kuriles, this proposal has certain advantages from the point of view of all the major parties, including Russia, as will be seen from paragraph 14 below). Mr. Dulles said that he did not think the United States Government could agree to our formula. He emphasised that the interest of the seven million Formosans should be considered. Events since the Cairo Declaration made it likely that their best interest would not now be served by the transfer of Formosa to the highly centralised administration of the Peking Government. He felt that our formula would tend to pre-judge the future of the Formosans, and would make the settlement of the question by the United Nations more difficult. He thought the Treaty should leave the status of Formosa unchanged apart from removing Japanese rights and sovereignty.

11. We have never liked the United States proposal for a simple renunciation by Japan, since legally it has the effect of turning Formosa into a "no man's" land. In addition the Indian Government have told us that, unless the Treaty provides for the cession of Formosa to China, they would not be prepared to sign it. The similar stand taken by the Indian Government over the Ryukyu and Bonin Islands (see paragraph 18) suggests, however, that they may find other such points to criticise and reject even if we meet them over Formosa. The United States Government are very firm in their opposition to this solution, and their case is certainly strengthened by their new proposal about South Sakhalin and the Kuriles, in view of which a similar treatment of the Formosa point of view in the Treaty would have the extra merit of consistency.

12. Recommendation. As the United States appear disposed to meet the substance of our views over Chinese participation, it is suggested that we should try to meet them over Formosa since this does not involve any sacrifice of principle. It is recommended that such a result should be achieved by laying down in the Treaty that Japan renounces her sovereignty over Formosa. The matter would then be made the subject of an agreed announcement outside the Treaty, linking up with the proposed announcement about Chinese participation (paragraph 6(c) above) and making the point that the future of Formosa is left open for eventual settlement by the United Nations. This would in fact have the result which we sought to achieve by our formula, and which the United States also wish to achieve, namely leaving the Formosa problem over for settlement at a later date in circumstances of more general agreement.

IV. The Kuriles and South Sakhalin.

13. Views of Mr. Dulles. The agreed preliminary draft of the Treaty provided (Article 4) for Japan to cede the Kurile Islands and South Sakhalin to Russia. There was, however, a clause in the Treaty (Article 25) under

which no state which did not sign the Treaty could receive any benefits under it, i.e. this concession would not take effect unless Russia signed; failing which the territories would, though occupied by Russia, be legally still under Japanese sovereignty. Mr. Dulles has now raised a new point in proposing that Japan should simply be required to renounce her sovereignty over these territories. He explained that on reflection the United States Government prefer this solution, since in the Treaty as at present drafted, assuming Russia did not sign, she would be in a possession of those territories, while their sovereignty would still legally be Japanese, a situation which might involve the United States, with her Defence Agreement with Japan, in undesirable complications.

14. Apart from the point made by Mr. Dulles, which seems to have much force, the new proposal seems to have positive advantages: it would have the effect that, whether or not Russia signs the Treaty, Japan still renounces her sovereignty over these territories. Russia would thus in fact get more out of it than under the Treaty as at present drafted, assuming she did not sign in either case. At least the link between these territories and Japan would now be legally severed. We should thus be able to answer Russian criticism by saying that, although through no fault of ours she refused to participate, we at any rate had done the most we could to look after her interest by getting Japan to renounce sovereignty over the territories promised to her at Yalta.

15. Recommendation. That we can accept Mr. Dulles' proposal on this point.

V. The Ryukyu, Bonin and other Islands.

16. On 29th May (C.M.(51) 38th Conclusions, Minute 2) the Cabinet decided that I should attempt to ensure that the Treaty provided for a renunciation of Japanese sovereignty over these islands.

17. Views of Mr. Dulles. Mr. Dulles explained that in view of the close connections in economic, monetary and fishing matters between the Japanese mainland and at any rate the more northerly of the islands in question, the United States Government consider that it would be undesirable to put them under a different sovereignty. In addition, the United States Government was not ready to face the implications of sovereignty over these islands being vested in the United States. This would involve the United States Government in financial commitments which would not arise if the territories were not under United States sovereignty. In addition there would be difficulties about the legal and constitutional processes for the divesting of United States sovereignty should that even appear desirable. All in all, the United States Government prefer not to require Japan to renounce her sovereignty over the islands.

18. The Indian Government are strongly in agreement with the United States Government on the point that sovereignty over the Ryukyu and Bonin Islands should be left to Japan, and the proposal for United Nations trusteeship over the islands is unacceptable to India. They feel so strongly over this that, unless their view is met, they have told us that they would not be prepared to sign the proposed Treaty.

19. Recommendation. Having regard to the explanation given by Mr. Dulles, and to the fact that this is primarily an American problem, in which as it happens the Asian countries are likely to adopt the American view, it is suggested that we also should now accept it.

VI. Shipbuilding capacity.

20. On 29th May (C.M.(51) 38th Conclusions, Minute 2) the Cabinet agreed that I should ascertain how the United States Government proposed to arrange for a voluntary acceptance by the Japanese of restrictions on the use of their shipbuilding capacity, and that I should submit a further report to the Cabinet before the details of such an arrangement were finally settled with the United States Government.

21. Mr. Dulles explained that after the present talks his principal Assistant, Mr. Allison, is going to Tokyo to investigate on the spot how far the consideration of this question has gone. We will be informed of the result of Mr. Allison's investigation.

22. Recommendation. That we should await further information from the United States Government before considering the matter further.

VII. Gold.

23. This is an item on which agreement has not yet been reached. I propose to raise it orally.

H.M.

Foreign Office, S.W.1,

7TH JUNE, 1951.

ANNEX A

SECURITY: MEMORANDUM COMMUNICATED BY MR. DULLES

1. During the entire period during which we have been working on the provisions of a Japanese Peace Treaty the question of the security of the Pacific area has been a subject of major concern to the United States. This concern has not been limited solely to aggression on the part of a non-Pacific power but has included the possibility of aggressive action on the part of Japan itself.

The basis of United States thought on security is embodied in five measures as follows:

(a) A non-punitive, non-restrictive and "liberal" peace Treaty with Japan, designed to encourage her to remain aligned with, and co-operative with, the free nations of the world.

(b) A United States-Japan Bilateral Security Pact, to be signed concurrently with the Peace Treaty, which will assure the continued presence in Japan of United States forces for an indefinite period.

(c) The United States maintains armed forces in the Ryukyus, particularly in Okinawa, and, as the President has stated publicly, expects to continue to maintain them there.

(d) A tri-partite security pact among the United States, Australia and New Zealand providing for co-operative action in the event of armed attack from any source against any of the signatories or its possessions or armed forces in the Pacific area.

(e) An existing United States-Philippines Base Agreement which provides for the presence in the Philippines of United States armed forces.

2. The possibility of aggressive action by Japan, therefore, must be viewed in the light of all five of these facts. The Treaty of Peace offers what we believe to be the best hope of continuing the development of a peacefully inclined, non-revengeful Japan prepared to work in harmony with other freedom loving peoples and willing to reject the temptations which could be offered by the Soviet bloc were the Peace Treaty to contain restrictions not applicable to other sovereign states.

3. The United States-Japan Bilateral Security Pact will permit the retention in Japan of as large an armed force as the United States considers necessary. The mere presence of these forces under the broad rights and powers which are to be granted them together with the relationships contemplated will, as a practical matter, make impossible any aggressive action on Japan's part or even preparation for such action. The denial by territorial clauses in the Peace Treaty of Japan's control of essential raw materials plus the controls currently exercised by the United States and its associates on such materials as a result of the Free World's rearmament effort will make it impossible for Japan to acquire the means for large scale rearmament except with our knowledge and approval.

4. The tripartite Security Pact will assure co-operative action on the part of the United States, Australia and New Zealand in the event Japan attacks any one of those three nations in the Pacific, and will assure consultation together if there is any threat of such attack. At the same time

the presence of United States forces in the Philippines under the existing Base Agreement and in Okinawa provides practical security against aggressive action by Japan.

We should be able at a later date to furnish all signatories to the Japanese Peace Treaty an authoritative and more definitive statement on this important question of security than is possible at a time when the provisions of these arrangements are not yet finalized in all respects.

ANNEX B

EXTRACT FROM PROPOSED SPEECH BY
MR. JOHN FOSTER DULLES

One of the dangers is, of course, that the peace might leave Japan a vacuum of power into which aggressive power would move, or that Japan, ostensibly for defence, might rearm to a degree that might be again dangerous to us. The United States, and indeed the Allied Powers generally, are determined that neither of these things shall happen, and I am glad to say the Japanese are in full accord. They want security, but they want it without militarism. So, the Japanese Government has invited the United States to enter into a security arrangement with it so that upon the coming into force of the treaty of peace, Japan will not be a vacuum of power but United States Armed Forces will be stationed in and about Japan for an indefinite period of time. The United States has indicated that it would accept this proposal. Under it, the United States would presumably, as its contribution to the security of Japan, provide the bulk of sea and air power, while Japan might in due course be in a position to provide the bulk of land power. Hence, Japan would not possess a national force which, of itself, could be an offensive threat, and the relationship between victor and vanquished would be so intimate and integrated as to make incredible a war of revenge.

We are convinced that co-operative working arrangements for collective security such as we contemplate with Japan are greatly to be preferred to treaty limitations. These read well, but the hope placed in them usually is illusory. The recent peace treaties with Bulgaria, Roumania and Hungary are an illustration. Within less than five years, the limitations are grossly violated.

In the case of Japan we seek not the form but the substance of security, both for Japan and for Japan's neighbours.

ANNEX C

ARTICLE 6

(a) Japan accepts the obligations set forth in Article 2 of the Charter of the United Nations, and in particular obligations

(i) to settle its international disputes by peaceful means in such a manner that international peace and security, and justice, are not endangered;

(ii) to refrain in its international relations from the threat or use of force against the territorial integrity or political independence of any state or in any other manner inconsistent with the Purposes of the United Nations;

(iii) to give the United Nations every assistance in any action it takes in accordance with the Charter and to refrain from giving assistance to any state against which the United Nations may take preventive or enforcement action.

(b) The Allied Powers, for their part, recognise that Japan as a sovereign nation possesses the inherent right of individual or collective self-defence referred to in the Charter of the United Nations and that Japan may voluntarily enter into a collective security arrangement or arrangements /participated in by one or more of the Allied Powers/.